occupied. After the war, the shah had to contend with the landowners who controlled the Majlis. Immediately following the war, the Soviet Union was on the verge of establishing a communist state in the Azeri region. From 1951 to 1953, Prime Minister Mossadegh, who had nationalized the oil company, threatened the shah's rule. Beginning in 1961, the shah took initiative and launched a series of reforms in an ambitious attempt to establish a strong and modern Iran. After the passing of the land reform law, the shah advanced legislation according to which profits in the industry would be distributed among the workers. Cooperatives were established in agricultural areas, which financed irrigation and maintenance projects instead of landowners. The shah pushed through educational reforms aimed at reducing illiteracy in the country. As a result of the reforms, the level of income in 1969 increased by 50 percent (compared to 1962). Oil revenues increased and enabled the construction of seven dams for electricity generation and irrigation. Throughout his rule, the shah maintained a pro-Western policy; he was a member of pro-Western regional alliances such as CENTO, also known as the "Baghdad Pact," which was founded in 1955, when Britain still played a central role in the Middle East. Its members included Iran, Turkey, Iraq, Pakistan, and the UK. This alliance broke up after the 1958 military coup in Iraq and was replaced by the American-influenced RCD (Regional Cooperation for Development) pact that was established in 1964 and included Turkey, Pakistan, and Iran. The RCD encouraged a secular, modern, and Western Iran.

A helpful way to understand the Persians in a nutshell is to read the book *The Adventures of Hajji Baba of Ispahan*, which constitutes a kind of encyclopedia of the Persians as a race, as a people, and as individuals. The archetypal Persian character is proud of his imperial heritage and of his Aryan race and denies the claim that the religion of Shia Islam binds him to the Arab world. The typical Persian respects the other and will take great pains not to insult him. But even if a Persian can demonstrate boundless cruelty and wickedness in his actions, his speech will be gentle. He may be extremely self-effacing in encounters with authority figures, for example bowing down, never turning his back on the authority figure, and peppering his speech with profuse expressions of humbleness and exaltation. The typical Persian puts on facades and speaks half truths. This tendency is connected to the Shiite religion, which, as a minority in the Muslim world, permits its believers, as part of *Taqiya* (the duty of prudence) to deviate